

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 765

BY WAYS AND MEANS COMMITTEE

AN ACT

RELATING TO TAXING DISTRICTS; AMENDING SECTION 31-1411, IDAHO CODE, TO REVISE PROVISIONS REGARDING THE DE-ANNEXATION AND ANNEXATION OF CERTAIN PROPERTY AND TO MAKE TECHNICAL CORRECTIONS; AMENDING SECTION 63-301A, IDAHO CODE, TO PROVIDE FOR CERTAIN DEDUCTIONS FROM THE NEW CONSTRUCTION ROLL; AMENDING SECTION 63-802, IDAHO CODE, TO REVISE PROVISIONS REGARDING CERTAIN BUDGET LIMITATIONS OF FIRE DISTRICTS AND LIBRARY DISTRICTS AND TO MAKE A TECHNICAL CORRECTION; AND DECLARING AN EMERGENCY AND PROVIDING RETROACTIVE APPLICATION.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Section 31-1411, Idaho Code, be, and the same is hereby amended to read as follows:

31-1411. ANNEXATION OF TERRITORY IN SAME COUNTY -- PETITION -- HEARING -- ORDER -- CERTIFICATION TO COUNTY COMMISSIONERS -- ALTERNATE PROCEDURE -- ELECTION -- PETITION TO DE-ANNEX PROPERTY FROM EXISTING DISTRICT AND ANNEX INTO ANOTHER DISTRICT. (1) After the organization of a fire protection district, additional contiguous or noncontiguous territory lying within the same county may be added thereto and shall thereupon and thenceforth be included in such district. Territory that is not contained in an existing fire district, and is not immediately adjoining the boundaries of the fire district into which annexation is sought, may be annexed into the district provided the territory consists of not less than forty (40) contiguous acres. At least seventy-five percent (75%) or more of the owners or contract purchasers of the land sought to be annexed shall petition the fire protection board and request annexation of the territory particularly described in ~~said~~ the petition. Upon receipt of ~~any such~~ a petition to annex, the fire protection board shall hold a hearing not less than ten (10) nor more than thirty (30) days thereafter, ~~or,~~ upon the written consent of the petitioner, within one hundred eighty (180) days, and ~~said the~~ the board shall cause notice of ~~such~~ the hearing, designating the time and place, to be published in at least one (1) issue of a newspaper of general circulation within the district. Any person supporting or objecting to ~~such the~~ the petition shall be heard at ~~such the~~ the hearing, if in attendance, and at the close of ~~such the~~ the hearing ~~said,~~ the board shall approve or reject ~~said the~~ the petition. If the board approves ~~said the~~ the petition, it shall make an order to that effect and certify a copy of ~~said the~~ the order containing an accurate legal description of the annexed territory to the board of county commissioners of the county where ~~said the~~ the fire district is situated. ~~Said The~~ The board of county commissioners shall thereupon enter an order of annexation and cause the same to be recorded so as to include the annexed property on the tax rolls as provided in this chapter ~~provided.~~

(2) In the event that more than twenty-five percent (25%) of the owners or contract purchasers of the land sought to be annexed do not join in ~~said~~ the petition, and the board determines by resolution, entered on the minutes of the board, that the annexation would be in the best interests of the district and that an election on the issue should be held, additional territory may nevertheless be annexed by the affirmative vote of a majority of the qualified electors of ~~such the~~ additional territory voting on the question at an election held therefor, which vote may be taken at an election held as provided in section 31-1405, Idaho Code. The same procedure shall be adopted as provided in sections 31-1402 through 31-1406, Idaho Code.

(3) Any area embraced within the limits of any fire protection district may be de-annexed by such fire protection district and annexed into another fire protection district:

(a) If owners or contract purchasers of territory located within an existing fire protection district ~~seek to~~ petition to be annexed into another fire protection district, ~~they must~~ demonstrate that they are likely to receive an improved response to requests for services from the other fire protection district, and obtain written approval of the board of the fire protection district within which the territory is already located. The written approval must be attached to their petition to annex. ~~The procedure for the annexation petition shall be the same as otherwise provided in this section.~~ Upon receipt of a petition to annex, the fire protection board shall hold a hearing no less than ten (10) nor more than thirty (30) days thereafter or, upon the written consent of the petitioner, within one hundred eighty (180) days, and the board shall cause notice of such hearing, designating the time and place, to be published in at least one (1) issue of a newspaper of general circulation within the district. Any person supporting or objecting to the petition shall be heard at the hearing, if in attendance, and at the close of the hearing, the board shall approve or reject the petition. If the board approves the petition, it shall make an order to that effect and certify a copy of the order containing an accurate legal description of the annexed territory to the board of county commissioners of the county where the fire district is situated and to the state tax commission pursuant to section 63-215, Idaho Code. The board of county commissioners shall thereupon enter an order of annexation and cause the same to be recorded so as to include the annexed property on the tax rolls as provided in this chapter; or

(b) With the consent of the governing boards of each fire protection district, expressed by ordinance or resolution of each district. If the boards approve any annexation and corresponding de-annexation of territory, the fire protection district annexing territory shall make an order to that effect and certify a copy of the order containing an accurate legal description of the annexed territory to the board of county commissioners of the county where the fire district is situated and to the state tax commission pursuant to section 63-215, Idaho Code. The board of county commissioners shall thereupon enter an order of annexation and cause the same to be recorded so as to include the annexed property on the tax rolls as provided in this chapter.

SECTION 2. That Section 63-301A, Idaho Code, be, and the same is hereby amended to read as follows:

63-301A. NEW CONSTRUCTION ROLL. (1) The county assessor shall prepare a new construction roll, which shall be in addition to the property roll, which new construction roll shall show:

- (a) The name of the taxpayer;
- (b) The description of the new construction, suitably detailed to meet the requirements of the individual county;
- (c) The amount of taxable market value added to the property on the current year's property roll that is directly the result of new construction;
- (d) The amount of taxable market value added as provided in subsection (3) (f) of this section as a result of dissolution of any revenue allocation area; and
- (e) The amount of taxable market value to be deducted to reflect the adjustments required in this paragraph:
 - (i) Any board of tax appeals or court-ordered value change, if property has a taxable value lower than that shown on any new construction roll in any one (1) of the immediate five (5) tax years preceding the current tax year;
 - (ii) Any reduction in value resulting from correction of value improperly included on any previous new construction roll as a result of double or otherwise erroneous assessment;
 - (iii) Any reduction in value resulting from the exemption provided in section 63-602W(4), Idaho Code, in any one (1) of the immediate five (5) tax years preceding the current tax year; and
 - (iv) Any voluntary reduction in value reflecting a portion of certain homestead exemptions as provided in section 63-602G(10), Idaho Code; and
 - (v) Any reduction in value resulting from a fire protection district de-annexing territory pursuant to section 31-1411(3), Idaho Code, or library district de-annexing territory pursuant to section 33-2711A, Idaho Code. The full taxable market value for assessment purposes of such de-annexed territory, as certified by the county assessor, shall be deducted from the new construction roll for the de-annexing district in the year following the de-annexation.

(2) As soon as possible, but in any event by no later than the first Monday in June, the new construction roll shall be certified to the county auditor and a listing showing the amount of value on the new construction roll in each taxing district or unit shall be forwarded to the state tax commission on or before the fourth Monday in July. Provided however, the value shown in subsection (3) (e) of this section shall be reported to the appropriate county auditor by the state tax commission by the third Monday in July and the value sent by the county auditor to each taxing district. The value established pursuant to subsection (3) (e) of this section is subject to correction by the state tax commission until the first Monday in September, and any such corrections shall be sent to the appropriate county auditor, who shall notify any affected taxing districts.

1 (3) Except as otherwise provided in this subsection, the value shown on
2 the new construction roll shall include ninety percent (90%) of the taxable
3 market value increase from:

4 (a) Construction of any new structure that previously did not exist,
5 once it is completed and taxable;

6 (b) Additions or alterations to existing nonresidential structures;

7 (c) Installation of new or used manufactured housing that did not pre-
8 viously exist within the county;

9 (d) Property newly taxable as a result of loss of the exemption provided
10 by section 63-602W(3) or (4), Idaho Code;

11 (e) The construction of any improvement or installation of any equip-
12 ment used for or in conjunction with the generation of electricity and
13 the addition of any improvement or equipment intended to be so used, ex-
14 cept property that has a value allocated or apportioned pursuant to sec-
15 tion 63-405, Idaho Code, or that is owned by a cooperative or municipal-
16 ity as those terms are defined in section 61-332A, Idaho Code, or that
17 is owned by a public utility as that term is defined in section 61-332A,
18 Idaho Code, owning any other property that is allocated or apportioned.
19 No replacement equipment or improvements may be included;

20 (f) Provided such increases do not include increases already reported
21 on the new construction roll as permitted in paragraphs (i) and (j) of
22 this subsection, increases in value over the base value of property
23 on the base assessment roll within an urban renewal revenue alloca-
24 tion area that has been terminated pursuant to section 50-2914, Idaho
25 Code, to the extent that this increment exceeds the incremental value
26 as of December 31, 2006, or, for revenue allocation areas formed af-
27 ter December 31, 2006, eighty percent (80%) of the increment value.
28 Notwithstanding other provisions of this section, the new construction
29 roll shall not include new construction located within an urban renewal
30 district's revenue allocation area, except as provided in this para-
31 graph or paragraph (k) of this subsection;

32 (g) New construction, in any one (1) of the immediate five (5) tax years
33 preceding the current tax year, allowable but never included on a new
34 construction roll, provided however, that for such property the value
35 on the new construction roll shall reflect the taxable value that would
36 have been included on the new construction roll for the first year in
37 which the property should have been included;

38 (h) Formerly exempt improvements on state college-owned or state uni-
39 versity-owned land for student dining, housing, or other education-re-
40 lated purposes approved by the state board of education and board of
41 regents of the university of Idaho as proper for the operation of such
42 state college or university, provided such improvements were never in-
43 cluded on any previous new construction roll;

44 (i) Increases in base value when due to previously determined incre-
45 ment value added to the base value as required in sections 50-2903 and
46 50-2903A, Idaho Code, due to a modification of the urban renewal plan.
47 In this case, the amount added to the new construction roll will equal
48 eighty percent (80%) of the amount by which the increment value in the
49 year immediately preceding the year in which the base value adjustment
50 described in this subsection occurs exceeds the incremental value as of

December 31, 2006, or, for revenue allocation areas formed after December 31, 2006, the entire increment value; and

(j) Increases in base value when due to previously determined increment value added to the base value as a result of a de-annexation within a revenue allocation area as defined in section 50-2903, Idaho Code. In this case, the amount added to the new construction roll will equal eighty percent (80%) of the amount by which the increment value in the year immediately preceding the year in which the de-annexation described in this subsection occurs exceeds the incremental value as of December 31, 2006, or, for revenue allocation areas formed after December 31, 2006, the entire increment value within the area subject to the de-annexation.

(k) In the case of a fire protection district or ambulance service district that encompasses all or part of any urban renewal revenue allocation area that such district withdrew from pursuant to section 50-2906(5), Idaho Code, eighty percent (80%) of the increment value may be included on the new construction roll for the year in which the district withdrew from such urban renewal revenue allocation area. Each year thereafter, ninety percent (90%) of the taxable value of otherwise qualifying new construction shall be included in the new construction roll for such fire protection district or ambulance service district, even if such new construction would not otherwise qualify because it was located within a revenue allocation area.

(4) The amount of taxable market value of new construction shall be the change in net taxable market value that is attributable directly to the new construction or loss of the exemption provided by section 63-602W(3) or (4), Idaho Code. It shall not include any change in value of existing property that is due to external market forces such as general or localized inflation, except as provided in subsection (3) (f) of this section.

(5) The amount of taxable market value of new construction shall not include any new construction of property that has been granted a provisional property tax exemption, pursuant to section 63-1305C, Idaho Code. A property owner may apply to the board of county commissioners, if an application is required pursuant to section 63-602, Idaho Code, for an exemption from property tax at the time the initial building permits are applied for or at the time construction of the property has begun, whichever is earlier, or at any time thereafter.

(6) The amount of taxable market value of new construction shall not include any new construction of property for which an exemption from sales and use tax has been granted pursuant to section 63-3622VV, Idaho Code.

SECTION 3. That Section 63-802, Idaho Code, be, and the same is hereby amended to read as follows:

63-802. LIMITATION ON BUDGET REQUESTS -- LIMITATION ON TAX CHARGES -- EXCEPTIONS. (1) Except as otherwise provided in this section, no taxing district shall certify a budget request for an amount of property tax revenues to finance an annual budget that exceeds the maximum sum permitted under this section:

(a) (i) The highest dollar amount of property taxes certified for its annual budget for any one (1) of the three (3) tax years preceded-

ing the current tax year, which amount may be increased by a growth factor of not to exceed three percent (3%) plus the amount of revenue calculated as described in this subsection. The taxing district shall determine what portion of the three percent (3%) increase permitted under this subparagraph that it requires and then calculate a preliminary levy rate based on the percent chosen. In calculating the preliminary levy rate, the most current taxable market value shall be used, except that for taxable market values of centrally assessed operating property, the prior year's valuation may be used instead of the current year's taxable market values. The preliminary levy rate shall be multiplied by the value shown on the new construction roll compiled pursuant to section 63-301A, Idaho Code, and by ninety percent (90%) of the value of annexation during the previous calendar year, as certified by the state tax commission for taxable market values of operating property of public utilities and by the county assessor; ~~except for a fire protection district annexing property prior to July 1, 2021, pursuant to section 31-1429, Idaho Code, the new levy rate shall be multiplied by one hundred percent (100%) of the value of any such property annexed prior to July 1, 2021.~~

(ii) The total budget increase calculated under this paragraph must not exceed eight percent (8%), except that any increase in the amount of property tax revenue to finance an annual budget added as a result of the following shall not be subject to such limitation:

1. The termination, de-annexation, plan modification of, or the withdrawal of certain taxing districts from, a revenue allocation area of an urban renewal district pursuant to section 63-301A(3) (f), (i), (j), or (k), Idaho Code, or section 50-2908(1) (g), Idaho Code, shall not be subject to such limitation;

2. A fire protection district annexing territory pursuant to section 31-1411(3) or 31-1429, Idaho Code; or

3. A library district annexing territory of another library district pursuant to section 33-2711A, Idaho Code.

(iii) Following the first year in which a fire protection district has annexed city property pursuant to section 31-1429, Idaho Code, the city shall subtract an amount equal to the moneys spent on fire protection services during the last full year the city provided fire protection services to its residents from its budget limitation under this section.

(b) If the taxing district has not imposed a levy for three (3) or more years, the highest dollar amount of property taxes certified for its annual budget for the purpose of paragraph (a) (i) of this subsection shall be the dollar amount of property taxes certified for its annual budget during the last year in which a levy was made.

(c) The dollar amount of the actual budget request may be substituted for the amount in paragraph (a) of this subsection if the taxing district is newly created, except as may be provided in paragraph (i) of this subsection.

1 (d) This section does not apply to school district levies imposed in
2 section 33-802, Idaho Code.

3 (e) (i) In the case of a nonschool district for which less than the
4 maximum allowable increase in the dollar amount of property taxes
5 is certified for annual budget purposes in any one (1) year, such a
6 district may, in any following year, recover the forgone increase
7 by certifying, in addition to any increase otherwise allowed, any
8 or all of the increase originally forgone. Provided however, that
9 prior to budgeting any forgone increase, the district must provide
10 notice of its intent to do so, hold a public hearing that may be in
11 conjunction with its annual budget hearing, and certify by resolu-
12 tion the amount of forgone increase to be budgeted and the specific
13 purpose for which the forgone increase is being budgeted. Upon
14 adoption of the resolution, the clerk of the district shall file a
15 copy of the resolution with the county clerk and the state tax com-
16 mission. Said additional amount shall be included in future cal-
17 culations for increases as allowed, except as provided in subpara-
18 graph (iii) of this paragraph.

19 (ii) If the forgone increase is budgeted for the purpose of main-
20 tenance and operations, the rate of recovering the reserved for-
21 gone moneys may increase the taxing district's budget by no more
22 than one percent (1%) per year.

23 (iii) If the forgone increase is budgeted for a capital project or
24 projects, the rate of recovering the reserved forgone moneys may
25 not exceed three percent (3%) of the taxing district's budget for
26 the year in which the forgone increase is budgeted. Forgone moneys
27 budgeted for a capital project must be deducted from the taxing
28 district's forgone balance in the year in which it is budgeted.
29 Upon completion of such a capital project, the taxing district
30 shall certify such completion to the state tax commission and
31 county clerk. If, upon certification, the state tax commission
32 finds that the taxing district included forgone moneys for a capi-
33 tal project in calculating the increase permitted under paragraph
34 (a) of this subsection, the state tax commission shall direct the
35 taxing district to reduce its property tax budget for any year
36 in which the forgone moneys were used to calculate a budget in-
37 crease, in an amount equal to the forgone moneys budgeted plus any
38 increases attributed to the forgone moneys improperly included in
39 the taxing district's property tax budget. For the purpose of this
40 paragraph, a capital project includes:

- 41 1. The construction, expansion, renovation, or replacement
42 of public facilities, including the acquisition of land and
43 other site improvements;
- 44 2. The construction, expansion, or reconstruction of public
45 works improvements, including roads, bridges, water sys-
46 tems, sewer systems, and broadband systems; and
- 47 3. The purchase of equipment with a useful life of ten (10)
48 years or more.

49 (f) If a taxing district elects to budget less than the maximum allow-
50 able increase in the dollar amount of property taxes, the taxing dis-

1 trict may reserve the right to recover all or any portion of that year's
2 forgone increase in a subsequent year by adoption of a resolution spec-
3 ifying the dollar amount of property taxes being reserved. Otherwise,
4 that year's forgone increase may not be recovered under paragraph (e) of
5 this subsection. The district must provide notice of its intent to do so
6 and hold a public hearing that may be in conjunction with its annual bud-
7 get hearing, if applicable. The resolution to reserve the right to re-
8 cover the forgone increase for that year shall be adopted at the annual
9 budget hearing of the taxing district if the district has a budget hear-
10 ing requirement.

11 (g) In the case of cities, if the immediately preceding year's levy sub-
12 ject to the limitation provided by this section is less than 0.004, the
13 city may increase its budget by an amount not to exceed the difference
14 between 0.004 and the actual prior year's levy multiplied by the prior
15 year's market value for assessment purposes. The additional amount
16 must be approved by sixty percent (60%) of the voters voting on the ques-
17 tion at an election called for that purpose and held on the date in May or
18 November provided by law and may be included in the annual budget of the
19 city for purposes of this section.

20 (h) A taxing district may submit to the electors within the district
21 the question of whether the budget from property tax revenues may be
22 increased beyond the amount authorized in this section, but not beyond
23 the levy authorized by statute. The additional amount must be approved
24 by sixty-six and two-thirds percent (66 2/3%) or more of the voters
25 voting on the question at an election called for that purpose and held
26 on the May or November dates provided by section 34-106, Idaho Code.
27 If approved by the required minimum sixty-six and two-thirds percent
28 (66 2/3%) of the voters voting at the election, the new budget amount
29 shall be the base budget for the purposes of this section.

30 (i) When a nonschool district consolidates with another nonschool
31 district or dissolves and a new district performing similar governmen-
32 tal functions as the dissolved district forms with the same boundaries
33 within three (3) years, the maximum amount of a budget of the district
34 from property tax revenues shall not be greater than the sum of the
35 amounts that would have been authorized by this section for the district
36 itself or for the districts that were consolidated or dissolved and in-
37 corporated into a new district.

38 (j) This section does not apply to cooperative service agency levies
39 imposed in sections 33-317 and 33-317A, Idaho Code.

40 (k) The amount of money received in the twelve (12) months immediately
41 preceding June 30 of the current tax year as a result of distributions of
42 the tax provided in section 63-3502B(2), Idaho Code.

43 (2) In the case of fire districts, during the year immediately follow-
44 ing the election of a public utility or public utilities to consent to be pro-
45 vided fire protection pursuant to section 31-1425, Idaho Code, the maximum
46 amount of property tax revenues permitted in subsection (1) of this section
47 may be increased by an amount equal to the current year's taxable value of the
48 consenting public utility or public utilities multiplied by that portion of
49 the prior year's levy subject to the limitation provided by subsection (1) of
50 this section.

1 (3) No board of county commissioners shall set a levy, nor shall the
2 state tax commission approve a levy for annual budget purposes, which ex-
3 ceeds the limitation imposed in subsection (1) of this section unless au-
4 thority to exceed such limitation has been approved by a majority of the tax-
5 ing district's electors voting on the question at an election called for that
6 purpose and held pursuant to section 34-106, Idaho Code, provided however,
7 that such voter approval shall be for a period of not to exceed two (2) years.

8 (4) The amount of property tax revenues to finance an annual budget does
9 not include revenues from nonproperty tax sources and does not include rev-
10 enue from levies for the payment of judicially confirmed obligations pur-
11 suant to sections 63-1315 and 63-1316, Idaho Code, and revenue from levies
12 that are voter-approved for bonds, override levies or supplemental levies,
13 plant facilities reserve fund levies, school emergency fund levies, or for
14 levies applicable to newly annexed property or for levies applicable to new
15 construction as evidenced by the value of property subject to the occupancy
16 tax pursuant to section 63-317, Idaho Code, for the preceding tax year. The
17 amount of property tax revenues to finance an annual budget does not include
18 any property taxes that were collected and refunded on property that is ex-
19 empt from taxation, pursuant to section 63-1305C, Idaho Code.

20 (5) The amount of property tax revenues to finance an annual budget
21 shall include moneys received as recovery of property tax for a revoked pro-
22 visional property tax exemption under section 63-1305C, Idaho Code.

23 (6) For tax year 2023, before calculating the amount required in sub-
24 section (1) (a) (i) of this section, the board of county commissioners shall
25 reduce the approved property tax levy portion of its budget for the immedi-
26 ate prior three (3) years in an amount equal to the amount levied for indigent
27 public defense. The reduced budget amount shall be the base budget for the
28 purpose of subsection (1) (a) (i) of this section.

29 SECTION 4. An emergency existing therefor, which emergency is hereby
30 declared to exist, this act shall be in full force and effect on and after its
31 passage and approval, and retroactively to January 1, 2026.